2026 VR APAP Metric and Goals

Overview

In 2026, we are refining APAP eligibility and threshold criteria to align with our most strategic customer cohort — **T10 agencies using Simulator Training** — and to ensure we are measuring adoption against our **core use case: annual TASER certification**.

What's Changing in 2026 and Why

1. ELIGIBILITY NARROWED TO T10 VR CUSTOMERS ONLY

- **2025**: Included both T10 and T7 agencies with VR.
- **2026**: **Only T10 + VR customers** will be eligible.
  - **Why**: We're prioritizing CSM and other business resources to drive adoption across the majority of our customer base and ensure they maximize the value of the latest CEW.
  - This shift reduces eligible points by 33%, allowing the business to concentrate efforts.

2. THRESHOLD NOW FOCUSES SOLELY ON SIMULATOR TRAINING

- **2025**: Agencies needed to meet both SIM and Non-SIM (CET, vRBT-LA) thresholds.
- **2026**: **Only SIM completions** will count.
  - **Why:** CEW Training remains our primary use case for VR, which Simulator Training fulfills.

3. PER-PERSON PROXY UPDATED TO VR LICENSES

- **2025**: Threshold used Axon Footprint as a per-person proxy.
- **2026**: Threshold is now based on **VR licenses.**
  - **Why**: VR licenses are a more accurate proxy for intended training population. Axon Footprint often over- or undercounts in VR-only deployments.

4. TRAILING 12 MONTH THRESHOLD INCREASED.

- **2025**: Threshold was 1.5x SIM completions per 'person' over trailing 12 Months.
- **2026**: Threshold is **2x SIM completions** per 'person' over trailing 12 Months.
  - **Why**: The increase is not a result of any changes to expected adoption, but rather from the per-person proxy change -- previously we assumed ~75% CEW carry rate among Footprint Size, which equated to 1.5x VR trainings per sworn officer. With VR Licenses as our per person proxy, we can now directly reflect our expectation of 2x trainings per VR user.

5. LARGE AGENCY ADJUSTMENT: THRESHOLD FLOOR

- New addition: Large Agencies can also qualify by completing **500+ SIM trainings in the past 6 months**.
  - **Why**: Larger agencies require 9–15 months to complete full rollout, versus smaller agencies that can certify their entire force in a few weeks.
  - This floor captures early positive momentum (e.g., Arizona DOC) and flags drop-off risk (e.g., Nashville Metro PD) without needing manual overrides.

What’s Staying the Same

- Focus on annual CEW certification as the gateway to broader VR adoption.
- 6-month eligibility window before APAP inclusion.

2026 Adoption Definitions VR

1. ELIGIBILITY

Agencies are eligible for APAP if the following three conditions have been true for the past 6 months (to recognize the standard 6-month grace period):

1. are **T10 CEW customers**
2. have purchased access to **Axon VR: Simulator Training** (any tier)

Eligible Points:

- **Known, Currently Eligible (as of Nov 25):** 610 eligible customers (147.6k eligible points). 6-month grace period applied.
- **Known, Sold Not Yet Mature (will be mature by Nov 26):** 670 customers (32.6k points) that have a signed contract and will be *eligible mature (post 6-month maturity period)* by Nov’26.
- **Not Yet Sold:** customers contracts that will be sold in H1 2026 that will become eligible mature in H2 2026. Forecasted to grow 40% YoY (59k new points).

2. THRESHOLD

2026 Threshold and Baseline

> At least **2x SIM Completions** per purchased **VR License** in the previous **12 Months.**
> **OR**
> More than **500 total SIM Completions** in the previous **6 Months.**

See 2025 Threshold and Actuals for context on current threshold definitions.

3. DEBATED TOPICS

1. We will **NOT INVEST** in driving T7 agency adoption, nor non-Simulator Training adoption, via APAP.
2. As in past years, we are intentionally building in **BUFFER** to the threshold: while it is set at 2x SIM completions per VR license, the v24 Training Booklet recommends agencies complete all three Validation Courses when certifying with VR.
    a. *Note, any recommendations made by Axon for operator certifications are not actually enforced.*
3. Major Agencies are now **MORE LIKELY** to naturally meet threshold — or at the least do so sooner in their year-long certification program.
4. Major Agencies could meet threshold **WITHOUT** being near the 2x SIM per VR license threshold.
5. We will **OVERRIDE** adoption thresholds in cases where agencies are using VR offline and we verify adoption.

2026 Goals

UNDER 2026 ELIGIBILITY AND THRESHOLD CRITERIA, OUR BASELINE APAP IS CURRENTLY 37.1%.

(Visit the Appendix to see our baseline evolve from 2025 APAP's Nov '25 actuals — 14.9%.)

WE ARE PROPOSING OUR HIGH CONFIDENCE GOAL TO GROW 130BPS YOY TO 38.4%,

AND OUR HARD CLIMB GOAL TO GROW 910BPS YOY TO 46.2%.

RATIONALE

High Confidence Goal accounts for 3 Key Risks.

1. **Retention Risk – Year 2 drop-off.** Recert agencies have 50-75% less time to train than those initially certifying on CEWs (2-4 hours vs 8 hours), making VR deprioritized (eg., Lincoln PD). VR use also often ends when a key trainer leaves the academy (e.g. Phoenix PD, Nashville PD). We are investing in CSM outreach + new training recommendations for recertifications, but retention is expected to dip.
    a. Recommendation: 75% retention rate for High Confidence.
2. **New Major Accounts – Delayed adoption.** 85% of projected Major sales land in Q2 2026, but their VR-CEW deployments trail by 5–10 months. Only 31% of Q2 2025 purchasers are adopting by Nov'25. Threshold attainment <9 months from purchase is unlikely.
    a. Recommendation: 31% new Majors conversion rate for High Confidence.
3. **Unengaged Agencies – Low conversion.** Agencies without a VR champion or strong Axon partnership rarely re-engage (e.g., New Castle County PD). A VR-dedicated CSM is being hired, but we expect only semi-engaged agencies to convert in the short term.
    a. Recommendation: 20% of un-adopting customers converting for High Confidence.

The path to achieving Hard Climb is to focus business resources on the following (in order of importance):

1. **Retain adopting customers (90%).**
    a. Triggers for CSM outreach near annual certification training windows.
    b. Improved UX across our SW and HW products.
    c. Pilot a VR Instructor Certification Course and host recurring office hours for in-market customers.
2. **Onboard new customers (10% increase in adoption rates amongst <1year customers YoY).**
    a. Expand our new PSO-CSM Onboarding workflow for Major Accounts to all CSM line sizes.
3. **Covert semi-engaged customers (20% conversion rate amongst unengaged customers).**
    a. Improved adoption reporting for CSMs to identify key accounts.
    b. Proactive, tactical CSM outreach with effective playbooks.

GOAL PROJECTIONS

See 2026 VR APAP Threshold Modeling for full Model.

	A	B	C	D	E	F	G	H	I	J	K
1	Row Labels		2025 Baseline			2026 High Confidence			2026 Hard Climb		
2			Adopting Points	Eligible Points	APAP %	Adopting Points	Eligible Points	APAP %	Adopting Points	Eligible Points	APAP %
3	6 to 12 Months (Forecasted)		-	32,580	N/A	20,759	59,034	35.2%	29,385	59,034	49.8%
4		Major	-	3,708	N/A	10,323	33,300	31.0%	16,315	33,300	49.0%
5		T1200	-	14,691	N/A	6,506	18,588	35.0%	7,896	18,588	42.5%
6		Other	-	14,181	N/A	3,930	7,146	55.0%	5,174	7,146	72.4%
7	12 to 18 Months (Inelligible)		30,249	66,849	45.2%	14,702	32,581	45.1%	16,525	32,581	50.7%
8		Major	16,795	37,708	44.5%	7,363	18,378	40.1%	8,468	18,378	46.1%
9		T1200	8,128	21,049	38.6%	4,793	10,259	46.7%	5,239	10,259	51.1%
10		Other	5,326	8,092	65.8%	2,546	3,944	64.6%	2,818	3,944	71.5%
11	18 to 24 Months (Current New)		12,361	37,157	33.3%	28,838	66,849	43.1%	33,375	66,849	49.9%
12		Major	4,884	19,245	25.4%	14,688	37,708	39.0%	17,207	37,708	45.6%
13		T1200	5,556	14,018	39.6%	9,326	21,049	44.3%	10,545	21,049	50.1%
14		Other	1,921	3,894	49.3%	4,824	8,092	59.6%	5,623	8,092	69.5%
15	24+ Months Total (Pre 2025)		12,120	43,580	27.8%	27,535	80,737	34.1%	31,207	80,737	38.7%
16		Major	6,204	25,493	24.3%	11,681	44,738	26.1%	13,344	44,738	29.8%
17		T1200	4,619	15,609	29.6%	12,494	29,627	42.2%	14,021	29,627	47.3%
18		Other	1,297	2,478	52.3%	3,360	6,372	52.7%	3,842	6,372	60.3%
19		Grand Total	**54,730**	**147,586**	**37.1%**	**91,834**	**239,201**	**38.4%**	**110,492**	**239,201**	**46.2%**

MODEL ASSUMPTIONS + DRIVERS

	A	B	C	D	E
1	**Cohort**	**2025 Rate**	**High Confidence**	**Hard Climb**	**Notes**
2	**Retention Rate**				
3	**Adopting Customers**	*N/A*	75	90%	• Conservatively estimating some churn due to Retention Risk (80%) – Year 2 drop-off. Recert agencies have 50% less time than Year 1, making VR deprioritized (eg.,….
4	**Conversion Rate**				
5	**Major**	*N/A*	10%	10%	• High Confidence rates are based on % of unadopted points that are from agencies showing some level of engagement but not yet meeting threshold. • Hard Climb remains flat as this is the hardest cohort to move at the cost of focusing on other cohorts. • Not any more optimistic due to New Major Accounts (20%) – Delayed adoption. 85% of projected Major sales land in Q2 2026, but deployments trail by…
6	**T1200**	*N/A*	25%	25%	
7	**Other**	*N/A*	30%	30%	
8	**New Customer Adoption Rate**				
9	**Major**	43.6%	31%	49%	• High Confidence rates are the same as this cohort's (6-12 mo eligiblity) current adoption in Nov '25 -- except for Major Agencies. • We are more conservative for Major Agencies in 2026 given Unengaged Agencies – Low conversion. Agencies without a VR champion or strong Axon partnership rarely re-engage (e.g., New Castle County…
10	**T1200**	47.0%	35%	42.50%	
11	**Other**	57.8%	55%	72.40%	

Appendix

2025 Threshold and Actuals

> Agency TASER Range Skills + Validation completion event count >= 1.5X Axon Footprint Size over T12M
> AND
> Agency CET + vRBT LA + Verbal Training Scenarios completion event count must be >= 36 over T6M

2025 Goals: High Confidence = **31.7%**, Hard Climb = **43.1%**

→ *Actuals (Nov'25):* **14.9%**, with 127 customers meeting threshold (out of a total 1,037)

Bridge from 2025 Actuals APAP% to 2026 High Confidence Goal

	A	B	C	D	E	F
1	**Description**	**APAP Numerator**	**APAP Denominator**	**APAP %**	**Agency Count**	**Comments**
2	APAP Nov Oct 2025	31,609	212,485	**14.9%**	127	Denominator = T10 + T7 Numerator = SIM + Non-SIM Threshold, Numerator = SIM + Non-SIM Threshold
3	2025 Threshold - T10 Only Eligibility	22,921	147,586	**15.5%**	89	**+0.6 ppts** gain from restricting eligibility to T10 only APAP gain from restricting eligibility to T10 only -71,091 decrease in total eligible points
4	T12M 1.5x SIM Only Threshold - T10 Only Eligibility	42,735	147,586	**29.0%**	259	**+13.5 ppts** gain from removing the 2025 Non-SIM Threshold and only considering the 1.5x SIM Threshold (2025 Shadow Goal)
5	T12M 2x SIM Only Threshold - T10 Only Eligibility	32,006	147,586	**21.7%**	217	**-7.3ppts** from setting threshold from SIM use to 2x license count T12M instead of 1.5x
6	T12M 2X SIM Only OR T6M 0.75x SIM Only Threshold - T10 Only Eligibility	54,730	147,586	**37.1%**	228	**+15.4 ppts** when adding the T6M 500 SIM completions as an alternative threshold for Major Agencies.

Appendix 1 - 2026 Eligibility and Adoption Thresholds

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Appendix 2 - VR working document

VR APAP 2026 Discussions

Appendix 3 - 2025 Goal-Setting Reviews

- Nov 8, 2024: 2025 APAP Threshold Proposal Review
- Nov 26, 2024: 2025 APAP Final Threshold and Preliminary Goal Review
- Dec 18, 2024: 2025 APAP Final Goal Review